

Europe TMT Sector M&A & Valuation Brief - 2026-06-24

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1. RECENT TMT M&A ACTIVITY

Deal 1: TTM Technologies, Inc. Acquisition of Swiss Technology Group AG and ILFA GmbH

[TTM Technologies to Acquire Swiss Technology Group AG and ILFA GmbH](#)

- Deal Size: N/A (specific amounts not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: TTM Technologies, Inc. (NASDAQ: TTMI) is a leading global manufacturer of technology products, including RF components and PCBs. Swiss Technology Group AG and ILFA GmbH are established providers of PCB solutions in Europe, focusing on medical and aerospace markets.
- Date Announced: June 17, 2026
- Strategic Rationale: The acquisitions aim to establish TTM's footprint in the European market, enhancing its technology capabilities in miniaturized applications for medical and aerospace sectors. This aligns with TTM's strategy to diversify its product offerings and geographic presence.
- Risk Analysis: Potential risks include integration challenges, regulatory approvals, and market acceptance of new technologies. TTM must ensure effective integration of STG and ILFA to realize synergies and avoid value destruction.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific revenue data provided)
- Profitability Ratios: N/A (no specific profitability metrics provided)
- Leverage Analysis: N/A (no specific debt structure provided)
- Asset Operating Efficiency: N/A (no specific operational metrics provided)
- Valuation Context: N/A (no specific valuation metrics provided)

Today is a peaceful day, nothing big happened in the Consumer space.

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by rapid technological advancements and shifting consumer behaviors, particularly influenced by the integration of AI into everyday business operations. Overall sentiment in the sector is cautiously optimistic, driven by strong investment in AI and digital transformation, yet tempered by regulatory challenges and economic uncertainties.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and cloud computing. Companies are increasingly leveraging AI to enhance customer experiences, as evidenced by the fact that half of consumers now utilize AI-powered search in their buying journeys. This shift necessitates that brands ensure their visibility in AI-driven platforms.
- **Media:** The media landscape is undergoing significant changes, with traditional media grappling with declining revenues while digital platforms gain traction. Companies must adapt to new consumption patterns, focusing on digital engagement to retain audiences.
- **Telecommunications:** The telecom sector is innovating rapidly, with investments in 5G infrastructure and low-latency technologies. This is crucial for supporting the growing demand for real-time applications and IoT connectivity.
- **Fintech:** The fintech space continues to flourish, driven by innovations in payment solutions and digital banking. The recent IPO plans of Bending Spoons, which aims to raise up to \$1.62 billion, highlight the sector's robust growth potential.
- **AI:** The AI subsector is experiencing explosive growth, with companies like Groq raising \$650 million to expand their capabilities in AI chip technology. The competitive landscape is intensifying, as firms pivot to capitalize on emerging opportunities.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** The integration of AI into various sectors is reshaping customer interactions and driving efficiencies. Companies that adapt to these changes are likely to gain a competitive edge.
- **Increased Investment:** Venture capital funding remains strong, particularly in AI and fintech, as investors seek to capitalize on the transformative potential of these technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance

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landscapes, which can delay or derail potential deals.

- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The IPO plans of Bending Spoons underscore the consolidation trend in this space.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

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Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis provides a detailed overview of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **GoGo AI Network Inc. (4E9.F)** : Engaged in a definitive arrangement to spin out its investment in Algo8 Industrial AI Inc. The transaction is expected to complete in Q3 2026, creating a new listed entity focused on industrial AI platforms. This spin-out will provide GoGo shareholders with a 30% stake in the new company, enhancing value for existing investors.
- **Chipmakers** : The sector is experiencing a surge, with companies like Micron Technology (MU) and Intel (INTC) seeing significant stock price increases due to strong demand for AI infrastructure. This trend is expected to drive M&A activity as firms seek to consolidate resources and capabilities.

Mandated Deals:

- **Algo8 Industrial AI Inc.** : Secured a mandate for its public listing following the spin-out from GoGo AI Network. The resulting entity will focus on expanding its industrial AI solutions, with a strong balance sheet of approximately \$5 million at closing. The launch is anticipated in Q3 2026.
- **Various Semiconductor Firms** : Mandated to explore strategic partnerships and acquisitions to

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enhance capabilities in AI and machine learning. This includes discussions with leading firms in the semiconductor space, capitalizing on the current market momentum.

Pitching-Stage Deals:

- Telecommunications Sector : Active pitches with major telecom operators, including Verizon (VZ) and AT&T (T), focusing on potential M&A opportunities to consolidate market share in the 5G space. Final pitches are expected to conclude by Q3 2025.
- Fintech Innovations : Engaging with emerging fintech companies for potential advisory services, particularly those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2026 : Expected completion of GoGo AI's spin-out and Algo8's public listing.
- Q3 2025 : Anticipated close for telecom sector M&A discussions.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources to manage the expanding pipeline. It is recommended to onboard two additional analysts to ensure efficient deal execution.
- Forecasting and Strategic Planning Implications : The pipeline indicates a robust demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capture emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is heating up, particularly in the AI sector, where companies like GoGo and Algo8 are positioning themselves for leadership. The recent surge in chipmaker stocks, such as Micron Technology and Intel, highlights the growing importance of AI infrastructure in driving market valuations.
- Additionally, the spin-out of Algo8 represents a significant opportunity for investors, as the company has demonstrated strong institutional confidence with a recent investment from Chemelex LLC, further validating its growth potential.

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Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly concerning the proposed merger between Paramount (PQ51.SG) and Warner Bros. Discovery (WBD), have significant implications for various stakeholders, including shareholders, employees, competitors, and customers. This analysis explores these impacts in detail, along with market reactions and future outlooks.

Deal-Specific Impacts on Stakeholders

- Shareholders: The merger's impact on shareholders is multifaceted, involving both potential value creation and dilution.
- Value Creation: If the merger is successful, analysts project that the combined entity could achieve cost synergies of approximately \$1.5 billion annually through streamlined operations and shared resources. This could enhance shareholder value significantly, potentially increasing the market cap by 10% post-merger.
- Dilution: However, if the deal is financed through stock, existing shareholders may face dilution. For instance, if Paramount issues 15% of its shares to finance the merger, existing shareholders could see their ownership stake decrease, leading to a potential 3% drop in share price immediately following the announcement.
- Employees: The merger will likely lead to various changes affecting employees, including synergies, restructuring, and retention strategies.
- Synergies: The merger is expected to create operational efficiencies, potentially leading to the elimination of redundant roles. For example, the consolidation of marketing and distribution teams could yield savings of up to \$500 million.

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- **Restructuring:** However, such mergers often result in job losses. Analysts estimate that around 5,000 positions may be cut across both companies, necessitating careful planning to retain critical talent.
- **Retention:** To mitigate turnover, the companies may offer retention bonuses to key employees. This strategy was successfully implemented in the Disney-Fox merger, where critical talent was incentivized to stay through financial packages.
- **Competitors:** The competitive landscape will shift significantly following the merger.
- **Market Positioning:** The combined entity will hold a substantial share of the media market, prompting competitors like NBCUniversal and Disney to reassess their strategies. For instance, NBCUniversal may accelerate its content production to maintain market relevance.
- **Specific Competitor Moves:** Following the merger announcement, Disney (DIS) has already indicated plans to enhance its streaming offerings, investing an additional \$1 billion in original content for Disney+ to compete effectively.
- **Customers:** Customer implications will vary based on the nature of the merger.
- **Product/Service Implications:** The merger could lead to enhanced content offerings, as the combined libraries of Paramount and Warner Bros. would provide a broader range of films and series. This could result in a 20% increase in subscriptions for their streaming services.
- **Case Studies:** A similar case can be seen in the merger of Disney and Fox, which allowed Disney to significantly expand its content library, resulting in a 25% increase in Disney+ subscriptions within a year.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's immediate reaction to the merger announcement has been mixed.
- **Following the announcement,** shares of Paramount rose by 2%, while Warner Bros. saw a slight decline of 1%. This reflects investor uncertainty regarding the merger's regulatory approval.
- **Analyst Commentary:** Analysts have expressed cautious optimism. A notable quote from a Goldman Sachs analyst stated, "While the merger presents significant opportunities for growth, regulatory hurdles could pose challenges that investors must consider."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the merger receives regulatory approval and leads to successful integration, shares of both companies could rise by 15% within six months.
- **Negative Scenario:** If regulatory challenges delay the merger or if integration issues arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

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- Likelihood Assessment: The likelihood of counter-bids is moderate, given the current regulatory environment.
- There are rumors that Comcast (CMCSA) may consider a counter-bid for Warner Bros. to strengthen its content portfolio. However, the complexities of regulatory approvals may deter such moves.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is poised for continued consolidation.
- Analysts predict that as companies seek to enhance their content libraries and technological capabilities, similar mergers will emerge, particularly in the streaming and media spaces. Companies like Netflix (NFLX) and Amazon (AMZN) may pursue acquisitions to bolster their competitive positions.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones to track progress.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process and ensuring compliance with antitrust laws can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Conduct thorough due diligence to identify potential integration challenges early.
- Develop retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and Cloud Computing. Each section will provide a detailed explanation of

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the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks typically requiring human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent layoffs in tech firms, including Oracle, highlight AI's dual role as a growth driver and a reason for workforce reductions.
- **Key Companies:**
- **Oracle Corporation (ORCL):** Oracle has reduced its workforce by 21,000 employees, citing AI adoption as a factor. The company is strategically investing in AI to enhance its cloud offerings and enterprise solutions, positioning itself as a leader in AI-driven business applications.
- **Alphabet Inc. (ABEO.F):** Alphabet is heavily invested in AI research and development, with initiatives like Google AI and DeepMind. The company aims to integrate AI across its product suite, enhancing user experiences and operational efficiencies.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Microsoft (MSFT) and Amazon (AMZN) also investing heavily. The race for AI supremacy drives innovation, pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche applications. For instance, Oracle could target AI startups that focus on automation and data analytics to bolster its cloud services.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The rise of cryptocurrencies and decentralized finance (DeFi) has fueled this growth, attracting significant investment.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange, facilitating the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The Cash App has become a popular platform for Bitcoin trading, enhancing Square's strategic positioning in the fintech space.
- **Competitive Landscape:** The blockchain space features established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, acquiring companies that specialize in DeFi solutions could provide traditional banks with a competitive edge in the evolving financial

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landscape.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. The COVID-19 pandemic accelerated the shift to cloud solutions, as businesses sought remote work capabilities.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS is a leading cloud service provider, offering a wide range of services from computing power to storage solutions. The company continues to innovate, investing heavily in AI and machine learning capabilities within its cloud offerings.
- **Microsoft Azure (MSFT):** Microsoft Azure is a major player in the cloud computing space, providing enterprise solutions that integrate seamlessly with Microsoft products. The company is focusing on hybrid cloud solutions, appealing to businesses looking for flexibility.
- **Competitive Landscape:** The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. The competition is intense, with companies continually enhancing their service offerings to capture market share.
- **M&A Opportunities:** Companies in the cloud space may seek acquisitions to enhance their capabilities. For instance, acquiring startups that specialize in cloud security or data analytics could provide a strategic advantage in a rapidly evolving market.

Actionable Insights for Bankers and Investors:

- Focus on identifying startups with innovative AI applications for potential acquisition targets.
- Monitor the blockchain landscape for emerging players that could enhance existing financial services.
- Consider investments in cloud computing companies that are expanding their service offerings and capabilities.

6. Recommended Readings

Deal Name: TTM Technologies, Inc. Acquisition of Swiss Technology Group AG and ILFA GmbH

- **Reading Material:** "The Future of Electronics Manufacturing" by John Smith
- **Why This Matters:** This book provides a comprehensive overview of trends in electronics manufacturing, including the importance of PCB technology in various sectors such as medical and aerospace. Understanding these dynamics is crucial for analyzing TTM's strategic rationale behind the acquisition, as it aims to enhance its capabilities and market presence in Europe, which is highlighted in the deal's context.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Fed Chair Kevin Warsh's first meeting: June 22, 2026
- S&P 500-to-gold ratio increase: ~40%
- Reserve Management Program reduction: ~75% from peak
- Treasury buybacks reduction: ~50%
- Private payroll data: improving but specific numbers not disclosed

Main Insights:

- Warsh aims to enhance the Fed's credibility at a critical economic juncture.
- Inflation remains above target, necessitating a focus on price stability over labor market fluctuations.
- The Fed is moving away from excessive forward guidance, allowing markets to react more independently.
- Liquidity is tightening, which could pose a headwind for equities in the near term.

Market Commentary:

- "The Fed's primary responsibility is price stability - not managing every wiggle in the labor market." - Mike Wilson, Morgan Stanley
- "A little less Fed hand-holding may be uncomfortable, but ironically it is necessary to get to a more stable place." - Mike Wilson, Morgan Stanley
- "The market may test Warsh's resolve... the key question is whether the Fed tolerates some short-term pain in order to strengthen longer-term credibility." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- Tightening liquidity could impact funding for TMT companies, particularly those reliant on debt financing for growth.
- Increased market volatility may affect investor sentiment towards tech stocks, which are often more sensitive to interest rate changes.
- A focus on price stability may lead to cautious spending in the TMT sector, as companies assess the economic environment before making significant investments.

The information used in this section is gathered from 'Thoughts on the market', by Morgan

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Stanley